



Office of Public Affairs
U.S. Department of Justice



Lab Operator Convicted of \$4M Medicare Fraud Scheme

Tuesday, February 25, 2025

For Immediate Release

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A federal jury in Detroit convicted a California man today for his role in defrauding Medicare of over \$4 million in fraudulent claims for medically unnecessary urine drug testing for patients receiving pain management treatment.

According to court documents and evidence presented at trial, Sherif Khalil, 50, of Redondo Beach, conspired with others to submit claims to Medicare for the highest-reimbursing urine drug testing panels, which doctors did not want or order.

Sherif Khalil operated Spectra Clinical Labs, a toxicology lab located in Gardena, California. As the owner of Spectra, Khalil implemented a scheme to pay marketers a percentage of Medicare reimbursements and incentivize them to obtain doctors' orders for expensive drug testing panels. Khalil concealed Spectra's payments to marketers by routing the payments through nominally independent marketing companies that Khalil secretly controlled. To maximize Spectra's profits and their own commission payments, Spectra's marketers then trained staff members at doctors' offices to send Spectra orders for medically unnecessary urine drug tests that doctors did not actually want or authorize. Khalil also knew that orders Spectra received from physician practices were not supported by documentation of medical necessity.

The medically unnecessary laboratory tests ordered in exchange for illegal kickbacks to marketers caused Medicare to pay more than \$4 million to the Spectra Clinical Labs.

Khalil was found guilty of one count of conspiracy to commit health care fraud and wire fraud and one count of conspiracy to defraud the United States and to pay, offer, receive, and solicit health care kickbacks. Khalil is scheduled to be sentenced on Aug. 7 and faces a maximum penalty of 20 years in prison on the conspiracy to commit health care fraud and wire fraud count and five years in prison on the count for conspiracy to defraud the United States and to pay, offer, receive, and solicit health care kickbacks. A federal district court judge will determine any sentence after considering the U.S. Sentencing Guidelines and other statutory factors.

Supervisory Official Antoinette T. Bacon of the Justice Department’s Criminal Division, Special Agent in Charge Cheyvoryea Gibson of the FBI Detroit Field Office, and Special Agent in Charge Mario Pinto of the Department of Health and Human Services Office of Inspector General (HHS-OIG) made the announcement.

The FBI Detroit Field Office and HHS-OIG investigated the case.

Trial Attorneys S. Babu Kaza, Jeffrey A. Crapko, and Kelly Warner and Assistant Chief Shankar Ramamurthy of the Criminal Division’s Fraud Section prosecuted the case.

The Fraud Section leads the Criminal Division’s efforts to combat health care fraud through the Health Care Fraud Strike Force Program. Since March 2007, this program, currently comprised of nine strike forces operating in 27 federal districts, has charged more than 5,800 defendants who collectively have billed federal health care programs and private insurers more than \$30 billion. In addition, the Centers for Medicare & Medicaid Services, working in conjunction with HHS-OIG, are taking steps to hold providers accountable for their involvement in health care fraud schemes. More information can be found at www.justice.gov/criminal-fraud/health-care-fraud-unit.

Updated February 25, 2025

Topic

HEALTHCARE FRAUD

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